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THE WHITE HOUSE
WASHINGTON

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MEMORANDUM OF TELEPHONE CONVERSATION

SUBJECT: Telcon with Helmut Kohl, Chancellor of Germany

PARTICIPANTS: The President
Helmut Kohl, Chancellor
Interpreter: Gisela Marcuse
Notetaker: Tony Wayne, NSC Staff

DATE, TIME November 26, 1991, 11:47 - 11:57 a.m.
AND PLACE: The Oval Office

The President: Hello. How are you? (U)

Chancellor Kohl: Doing quite well, thank you. My son is in the hospital now in rehabilitation, and I think in about 3 months he should completely overcome the effects of the accident. The doctors say there will be no lingering after effects. (U)

The President: Well, that's good news. (U)

Chancellor Kohl: Please give my warmest regards to Barbara and tell her it was very kind of her to give us her thoughts. (u)

The President: I will certainly do that. Now, what's on your mind? (U)

Chancellor Kohl: I wanted to call you because of the GATT. I must say I am very much concerned about information I received today. I was quite optimistic after the talks you had with Lubbers and Delors. Both Lubbers and Delors agreed that there had been a good rapprochement during the talks. Then I received news yesterday night that Mr. Madigan and Mrs. Hills retreated significantly behind the lines you and others had drawn during the talks in The Hague. Then yesterday night, I was given information that both of your negotiators have left for Washington to celebrate Thanksgiving and said they would come back to the negotiating table only after the 9th of December. George, let me say very frankly that opens up a gap we cannot have. I think we should really use every minute now. I'm very much personally involved in all this, and I really want to see GATT succeed. But I must say I wonder what we can do in order to make the best use of the time left to us. (✓)

The President: First, I had heard that the EC negotiators were complaining that our people had backed away from positions taken at The Hague. You ought to know, however, that our negotiators are saying the same thing about their EC counterparts. I'm very

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glad that you're engaged on this, and certainly I intend to stay engaged because if we don't, it just won't work out. Let me tell you where I think things stand. Agricultural subsidies do remain the chief stumbling block. Both the U.S. and the EC have moved, I think, but we believe the current EC offer on export subsidies will not satisfy either our own Congress or a bunch of other countries who are concerned about this. You know who they are. Our position and the position of many of these countries is that what is needed is a 35% cut measured in tonnage. Now recently Ruud Lubbers wrote me that EC further movement in agriculture would require U.S. flexibility in other areas: market access, intellectual property and services. So what we're going to do now is to send to Lubbers and Delors, and I'll be glad to send you a copy as well, some significant proposals to resolve the non-agricultural issues. This is responsive to Ruud's request, and I hope it will enable them to meet our essential need for a 35% reduction in export subsidies. Now that's where we are, and we will get that message off. (Ø)

Chancellor Kohl: George, I suggest that you send a copy of the letter that you send to Delors and Lubbers to me. Then I'll look at that and see what we can do. George, I have what may strike you as a somewhat crazy idea. Please give it thought to see if it makes sense. I would suggest the following: do you have a close collaborator in the White House who is really an expert on these matters, who is really competent, because then I would suggest that this expert get in contact by telephone with my expert here in the Chancellery and that they discuss the matter on the telephone once I have your letter. Would that be OK? (Ø)

The President: Yes, that would be fine. If you could give me the name of your expert, we will have someone here contact him. (Ø)

Chancellor Kohl: And I would suggest that they get into very, very discreet contact by telephone. What I want to avoid at all costs, George, is creating an impression that I'm interfering in negotiations with the EC. (Ø)

The President: We understand that and, frankly, we wouldn't be this far along without your involvement. We will protect that very carefully. Ask Peter Hartmann to contact Brent, and we'll set this up very quietly. (Ø)

Chancellor Kohl: Very good. The expert on our side will be Dr. Seiters. But, as you suggest, Peter Hartmann will get in contact with Brent. (Ø)

The President: Thank you very much, Helmut. Thank you for this constructive call. (Ø)

Chancellor Kohl: Bye-bye. (U)

The President: Goodbye. (U)

-- End of Conversation --